

Private Equity Deal Memos

Example Deal Summaries — Illustrative Only

Deal #1 — Buyout

AlphaFlex Packaging Group — Full acquisition of a mature industrial packaging manufacturer with strong cash flows, market leadership in niche segments, and significant operational improvement potential through lean manufacturing and procurement synergies.

Metric	LTM Actual	Year 1 Budget
Revenue	\$185M	\$198M
EBITDA	\$42M	\$48M
EBITDA Margin	22.7%	24.2%
Revenue Growth	4.1% YoY	7.0% (proj.)
ARR / MRR	N/A (project-based)	N/A
Net Debt	\$110M (2.6x EBITDA)	\$95M (target)

Key Investment Considerations

Entry via full buyout at 7.5x EV/EBITDA. Value creation levers include: (1) procurement consolidation targeting ~\$4M in annual savings, (2) add-on acquisitions in adjacent packaging verticals, (3) pricing power through long-term customer contracts. Exit targeted at Year 5 via strategic sale or secondary buyout at 8–9x EBITDA, implying ~2.3x MoM / ~18% IRR base case.

Deal #2 — Minority

Veridian Health Technologies — Minority growth investment in a SaaS platform serving mid-market healthcare providers with AI-driven revenue cycle management. Founders retain majority control; proceeds used for GTM expansion and product development.

Metric	Current	Year 2 Forecast
ARR	\$22M	\$41M
MRR	\$1.83M	\$3.42M
ARR Growth (YoY)	68%	~85% (proj.)
Gross Margin	74%	76%
EBITDA	-\$3.1M (investing phase)	~breakeven
Net Debt / Leverage	None	None

Key Investment Considerations

Investing \$15M for a 20% minority stake at ~8x ARR. Key diligence focus areas: net revenue retention (currently 118%), CAC payback (~14 months), and regulatory tailwinds from CMS reimbursement complexity. Board observer seat secured. Liquidity event expected via Series C or strategic acquisition in 3–4 years, targeting 3.5–4.5x MoM on invested capital.

This document is for illustrative purposes only. All figures are fictional.